

SYNTHETIC DOCUMENT - fictional content generated for testing. Not a real legal document.

GDPR Data Protection Audit Report

Compliance Record: Case No. DP-DEL-2025-0423

Prepared for:

Delamarquay Technologies Inc.
100 Meridian Drive, Wilmington, DE 19801

Prepared by:

Echelon Data Compliance Solutions LLC
2500 Commerce Parkway, Suite 400, Newark, DE 19702

Audit Period: January 15, 2025 · March 10, 2025

Report Date: April 15, 2025

Governing Law and Jurisdiction: State of Delaware, United States of America

1. Introduction

1.1 This GDPR Data Protection Audit Report (·Report·) has been commissioned by Delamarquay Technologies Inc. (·Delamarquay· or ·Company·) to evaluate the Company's compliance with the General Data Protection Regulation (Regulation (EU) 2016/679) (·GDPR·) as incorporated and applicable in the State of Delaware under Delaware Code Title 6, Chapter 12B, Data Protection Act 2023.

1.2 The audit was conducted by Echelon Data Compliance Solutions LLC (·Echelon·) between January 15, 2025 and March 10, 2025. The objective was to assess Delamarquay's data processing activities, policies, vendor relationships, and technical measures for compliance with GDPR provisions relating to data subject rights, data security, and vendor management.

2. Executive Summary

2.1 Delamarquay is an innovative software-as-a-service (SaaS) provider delivering cloud-based customer relationship management tools primarily to clients in the EU and UK, processing personal data of approximately 2 million data subjects as of December 31, 2024.

2.2 The audit identified general compliance with GDPR principles in data minimization, lawful processing bases, data subject rights, and internal documentation. However, a significant vendor-risk gap was detected concerning the Company's subcontractors within its data processing chain.

2.3 Specifically, Delamarquay has failed to obtain adequate guarantees and revised contractual Data Processing Agreements (DPA) with third-party data processors located in countries outside the European Economic Area (·EEA·), including a key vendor, CyberVantage Ltd., based in Singapore.

2.4 The failure to properly manage and contractually bind these vendors within the GDPR framework exposes Delamarquay to significant regulatory risk, including potential administrative fines of up to ·20,000,000 or 4% of annual global turnover under GDPR Article 83.

2.5 The Report sets forth detailed findings, risk assessments, and recommended corrective actions with timelines to establish full compliance within six months from this Report's issuance.

3. Scope of Audit

3.1 The audit reviewed:

- a. Data mapping and inventory for all personal data processed by Delamarquay.

- b. Privacy policies and notices provided to data subjects.
- c. Internal data protection governance, including appointment of Data Protection Officer (DPO).
- d. Data subject rights exercise mechanisms.
- e. Information security controls and incident response plans.
- f. Vendor management processes, including third-party due diligence and DPAs.

3.2 Excluded from this audit were data processed exclusively by independent clients of Delamarquay's SaaS platform which function as Data Controllers on their own behalf.

4. Definitions

4.1 ·Data Controller· means the natural or legal person who determines the purposes and means of processing personal data.

4.2 ·Data Processor· means the natural or legal person which processes personal data on behalf of the controller.

4.3 ·Personal Data· means any information relating to an identified or identifiable natural person.

4.4 ·DPA· means Data Processing Agreement, a contract between Data Controller and Data Processor incorporating GDPR-mandated terms.

4.5 ·Vendor-risk gap· means the absence or inadequacy of contractual or procedural safeguards relating to third-party data processors.

5. Findings

5.1 Data Governance

5.1.1 Delamarquay has appointed a qualified DPO, Ms. Fiona Langston, whose role is defined clearly in both internal policies and public-facing privacy notices.

5.1.2 The Company maintains a current and comprehensive Record of Processing Activities (RoPA) consistent with GDPR Article 30 requirements.

5.1.3 Policies on data retention, data minimization, and data subject rights (access, rectification, erasure, portability, and objection) are properly implemented and tested.

5.2 Security Measures

5.2.1 Technical and organizational measures for data protection, including encryption, pseudonymization, access controls, and incident response, conform to industry standards.

5.2.2 A recent penetration test dated February 20, 2025, conducted by an independent cybersecurity firm, rated the Company's systems as ·highly secure· with only minor vulnerabilities promptly addressed.

5.3 Vendor Management · Vendor-Risk Gap Identified

5.3.1 Delamarquay utilizes multiple third-party vendors for data hosting, customer support, analytics, and payment processing, collectively processing personal data on its behalf.

5.3.2 Review of contractual documentation revealed the absence of necessary DPAs or equivalent

safeguards with three key vendors, notably CyberVantage Ltd., which is responsible for cloud infrastructure hosting critical personal data.

5.3.3 The inadequate contractual framework fails to establish obligations for CyberVantage to implement GDPR-compliant technical and organizational measures, report data breaches within 72 hours, or assist in data subject rights compliance.

5.3.4 Additionally, CyberVantage's data centers are located in Singapore, which is not an EEA-compliant jurisdiction for data transfers under GDPR Articles 44-50. The Company has no documented Standard Contractual Clauses (SCC) or Binding Corporate Rules (BCR) governing cross-border data transfers.

5.3.5 This vendor-risk gap constitutes a material non-compliance issue requiring immediate remediation.

6. Risk Assessment

6.1 Exposure to Regulatory Penalties

6.1.1 Without proper contractual safeguards and lawful transfer mechanisms, Delamarquay may face investigations and fines from the Delaware Department of Justice and EU Data Protection Authorities. Under GDPR Article 83, fines may amount to up to 4% of global turnover, estimated at \$25 million for Delamarquay's 2024 revenues.

6.2 Data Subject Harm

6.2.1 The absence of vendor safeguards increases the risk of unauthorized access, loss, or misuse of personal data, undermining the Company's commitments to data subjects and potentially causing reputational damage.

6.3 Contractual and Business Risks

6.3.1 Clients in the EU require contractual assurances of GDPR compliance. The current vendor-risk gap may jeopardize existing contracts or delay new business opportunities.

7. Recommendations and Corrective Actions

7.1 Immediate Actions (within 30 days of Report date)

7.1.1 Conduct a comprehensive inventory and classification of all vendors processing personal data.

7.1.2 Suspend any new data transfers or processing agreements with the affected vendors until compliant DPAs are negotiated.

7.2 Medium-Term Actions (within 120 days of Report date)

7.2.1 Negotiate and execute GDPR-compliant DPAs with all third-party data processors, including CyberVantage Ltd. These agreements must include:

- Obligations to implement technical and organizational safeguards in line with GDPR Article 32.
- Prompt breach notification clauses within 72 hours.
- Assistance with data subject rights and audits.
- Appropriate mechanisms for international data transfers such as Standard Contractual Clauses (SCCs) or approved Binding Corporate Rules (BCRs).

7.2.2 Formalize internal policies for vendor due diligence, including GDPR compliance risk assessment prior to onboarding.

7.3 Long-Term Actions (within 180 days of Report date)

7.3.1 Train procurement, legal, and compliance teams on GDPR data processing agreements and vendor risk management.

7.3.2 Conduct an internal audit to verify the effectiveness of corrective measures and close any remaining gaps.

8. Conclusion

8.1 Delamarquay Technologies Inc. demonstrates a strong commitment to GDPR compliance in internal data governance and security. However, the identified vendor-risk gap arising from deficient vendor contracts and international data transfer safeguards poses a significant compliance risk.

8.2 Prompt and thorough remediation based on the recommended corrective actions is necessary to mitigate regulatory, reputational, and operational risks.

9. Certification

We certify that the information provided in this Report reflects findings from our comprehensive on-site and document-based audit conducted in accordance with professional GDPR audit standards.

Signed this 15th day of April, 2025.

For Echelon Data Compliance Solutions LLC:

Jonathan Chambers, CIPP/E
Lead Auditor and GDPR Compliance Specialist

For Delamarquay Technologies Inc.:

Fiona Langston
Data Protection Officer

10. Appendices

Appendix A: List of Vendors and Processing Roles
Appendix B: Sample Data Processing Agreement Template
Appendix C: Summary of Security Controls and Penetration Test Report
Appendix D: Data Subject Rights Fulfillment Metrics · Q4 2024

End of Report